

Development Financial Model Summary

INVESTOR TIER 2 · DEVELOPMENT ECONOMICS

Development Financial Model Summary

A high-level summary of the SHER Sanctuary residential development financial model. All figures are preliminary, unaudited, and subject to independent professional verification. This summary is provided for investor orientation only — it is not an offer of investment and does not replace independent due diligence.

Access note: The full Development Financial Model, including detailed cost breakdown, phasing schedule, sensitivity analysis, and SPV structure, is available at Tier 3 following execution of the Non-Disclosure Agreement (SHER-LEGAL-006-R01). Contact SHER to request Tier 3 access.

1. Capital Structure — Summary

US\$3.5M

Working capital requirement
Residential construction phase

US\$10.2M

Base for-sale revenue
Pre-financing costs

~2.9×

Gross revenue-to-capital ratio
Base model

The US\$3.5M working capital requirement funds the construction phase of the 20 for-sale residences and supporting estate infrastructure. Hospitality operations (lodge, restaurant, kayak programme) are capitalised and operated separately and are not included in these residential development figures.

2. Revenue Composition — By Residence Type

Residence Type	Units For Sale	Indicative Price Range (USD)	Revenue Contribution (Base Model)	Build Phase
Hillside Cottage (Type A)	6	US\$280,000 – US\$340,000	US\$1.9M (base)	Phase 1
Coastal Condominium (Type A)	8	US\$380,000 – US\$480,000	US\$3.4M (base)	Phase 1 / 2
Villa Type A	5	US\$980,000 – US\$1,150,000	US\$4.9M (base)	Phase 2
Flagship Villa (Type B)	1	Price on application	US\$0+	Phase 2
Total	20	—	US\$10.2M+ (base)	12–18 months

Pricing is preliminary and indicative. Cottage Type B (4 units, C-07–C-10) are SHER-retained and not included in for-sale revenue. Flagship Villa (V-06) price is negotiated directly with the buyer.

3. Investment Participation Structures

Structure	Priority	Indicative Target Return	Security / Terms
Senior secured lending	First priority	9–11% p.a. (indicative)	Charge over titled land; stage drawdown aligned to construction milestones

Structure	Priority	Indicative Target Return	Security / Terms
Preferred equity	Preferred distribution before participating equity	18–22% IRR target	SPV equity with preferred waterfall defined in shareholders agreement
Participating equity	Pro-rata after preferred return and capital	Project upside — uncapped	SPV equity, pari passu with other participating equity after preferred

Waterfall note: Preferred equity investors receive their capital plus preferred return before participating equity receives any distribution. The precise waterfall, hurdle rates, catch-up provisions, and exit mechanisms are defined in the SPV shareholders agreement — a draft of which is available at Tier 3. The terms summarised above are indicative and subject to negotiation.

4. Use of Capital

CONSTRUCTION — RESIDENTIAL

- 6 Hillside Cottages (Phase 1)
- 8 Coastal Condominiums (Phase 1/2)
- 5 Villa Type A units (Phase 2)
- 1 Flagship Villa (Phase 2)
- 4 SHER-retained Cottage Type B units

Retained units form part of SHER's hospitality revenue stream — not for sale

ESTATE INFRASTRUCTURE

- Internal estate roads and pedestrian pathways
- Solar energy infrastructure
- Water supply, storage and distribution
- Wastewater treatment and drainage
- Conservation zone maintenance and trail
- Landscaping and planting programme
- Estate security and entry management

5. Development Timeline — Indicative

Phase	Activity	Indicative Period	Status
Pre-construction	DCA planning application; regulatory approvals; land acquisition completion; contractor procurement	Q3–Q4 2026	<i>In progress</i>
Phase 1	Cottages Type A (C-01–C-06) + Condominiums (8 units); estate infrastructure Stage 1	Q1–Q3 2027	<i>Pending approvals</i>
Phase 2	Villas Type A (V-01–V-05) + Flagship Villa (V-06); estate infrastructure Stage 2; hospitality soft launch	Q4 2027–Q2 2028	<i>Pending approvals</i>
Operations	Formal estate opening; hospitality programme live; owner occupancy and rental pool activation	Q3 2028 target	<i>Subject to construction timeline</i>

All timelines are indicative and subject to regulatory approval, construction programme, and market conditions. No timeline is guaranteed.

6. Key Risk Factors

- **Planning and regulatory risk** — DCA approval and other statutory consents have not yet been granted. Delays or conditions may affect construction timeline and costs.
- **Construction cost risk** — Material and labour costs in Saint Lucia are subject to regional import pricing and seasonal availability. Cost overruns may reduce returns.

- **Sales absorption risk** — Residential sales revenue depends on buyer uptake at the indicated price points. Slower sales reduce cashflow and extend the investment period.
- **Currency risk** — All pricing is in USD. The XCD/USD peg reduces direct currency risk for local costs, but material imports may carry USD exposure.
- **Force majeure** — Tropical storms, seismic events, and other force majeure events could delay or damage construction.
- **Title and acquisition** — Land acquisition is partially complete. The full parcel acquisition programme is ongoing. Title completion risk exists for parcels not yet under contract.

Full model access: The complete development financial model — including detailed cost schedule, sensitivity tables, phasing cashflow, SPV structure, and draft shareholders agreement — is available at Tier 3 following NDA execution. Contact bookings@shersanctuary.com to request Tier 3 access.

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